

Roof Lifecycle Cost Analysis

Planned maintenance is projected to save the owner of a typical Hampton Roads office building **\$673K** over the next 20 years.

That is 59.1% less than the reactive cost, or \$291K in today's dollars. It compares PaxSeal planned maintenance with fixing problems only after they leak, using Hampton Roads costs and storm history.

MARKET	PROPERTY	ROOF AREA	SYSTEM	AGE	NEW ROOF TODAY
Hampton Roads	Office	40,000 sq ft	TPO	8 yrs Good	\$360K

PAXSEAL NET COST \$466K \$865K spent, less \$398K roof life left	REACTIVE NET COST \$1.14M \$1.2M spent, less \$59K roof life left	VALUE PROTECTED \$224K \$18K/yr more NOI at a 7.9% cap rate	NEW ROOF PRICE 2× in 15 yrs \$360K today, \$885K by year 20
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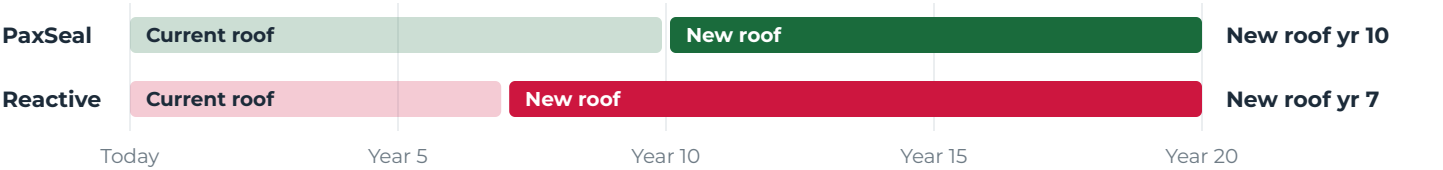
Cumulative roof spending, next 20 years

Nominal dollars. Vertical jumps are full roof replacements.



Roof life

When each scenario needs a new roof.



Where the savings come from

20-year totals

	PAXSEAL	REACTIVE	SAVINGS
PaxSeal program fees	\$161K	—	-\$161K
Repairs paid by owner	\$87K	\$627K	+\$540K
Expected storm damage	\$52K	\$79K	+\$26K
Roof replacements	\$564K	\$493K	-\$71K
Credit for roof life left	-\$398K	-\$59K	+\$339K
Net 20-year cost	\$466K	\$1.14M	+\$673K

What this means

- 1 **A later replacement.** Maintenance moves the next new roof from year 7 to year 10, so fewer roofs are bought over the period.
- 2 **Smaller repairs.** Problems found on a scheduled visit avoid emergency work, which costs about 3× as much. That saves \$540K in repairs.
- 3 **The program pays for itself.** Each \$1 of PaxSeal fees returns about \$4.18 in avoided cost.

Local risk profile

Norfolk City, VA (51710)

Hurricane / tropical-storm wind

~4.8 tropical storms or stronger within 50 nm of Norfolk per 20 years (NOAA HURDAT2 1975–2024). Expected storm damage to this roof over 20 years is **\$52K** if maintained and **\$79K** if neglected. A documented maintenance history also helps when an insurer questions a claim.

Hail	Low	■■■■■
Strong wind	Moderate	■■■■■
Tornado	Moderate	■■■■■
Hurricane	Moderate	■■■■■
Winter weather	Moderate	■■■■■
Ice storm	Moderate	■■■■■

FEMA National Risk Index rating

Key assumptions

Confidence reflects source strength. Values will be refined as research continues.

ASSUMPTION	VALUE	BASIS	CONFIDENCE
Roof life	20 / 15 yrs	Maintained / reactive. Fannie Mae service-life tables; +5 yrs from NRC Canada roof study and manufacturer warranty terms	MEDIUM
Roof cost growth	4.6%/yr	BLS Producer Price Index, nonresidential roofing contractors, 2007–2025	HIGH
Replacement cost	\$9.00/sq ft	Hampton Roads contractor price ranges	LOW
Reactive repair cost	3× planned	Industry estimates; no primary study found	LOW
Storm damage	0.44%/yr	Of roof cost. FEMA NRI expected annual building loss from hail, wind, tornado, hurricane and winter weather	MEDIUM
PaxSeal fee	\$6,000/yr	PAX program estimate for this roof size. Your proposal will state the actual fee	ESTIMATE
Leak consequences	1.20× warehouse	Scales reactive repair costs. Order supported by school-closure, hospital infection-control and insurer water-damage evidence; exact values are estimates	LOW
Cap rate	7.9%	Hampton Roads office market reports	LOW

Estimates, not a quote. Projections use Hampton Roads market research and industry data, in nominal dollars; actual costs will differ. The PaxSeal fee is an estimate and your proposal will state the actual price. Net cost credits the roof life remaining at year 20. Property value is the yearly gain in net operating income divided by the cap rate, and applies to income-producing property where the owner pays for the roof.